

The world in brief

Catch up quickly on the global stories that matter



Photograph: Getty Images

American employers added **172,000 jobs** in May, according to new data from the Bureau of Labor Statistics, comfortably outperforming expectations. Since inflation was already hot, investors are now nervous that the Federal Reserve will raise interest rates this year. In response to the news, the S&P 500 index fell by over 1.5% and the tech-heavy NASDAQ by almost 3%. Short-term Treasury yields hit a 15-month high.

Vladimir Putin rejected **Volodymyr Zelensky's** proposal for face-to-face talks, saying he sees “no point” in them. Ukraine's president had suggested meeting in a third country to discuss “the front line today” as Ukraine has taken the [initiative](#) on the battlefield. Meanwhile, the two countries have been swapping heavy aerial strikes. On Friday a Russian drone killed four people near Kyiv, Ukraine's capital.

Xi Jinping will visit **North Korea** next week for the first time since 2019, Chinese state media announced. It will be the Chinese leader's first overseas trip this year. China is hoping to rebuild ties with [North Korea](#) after they frayed during the pandemic. In March train services between the two countries resumed after a six-year suspension.

America's Senate passed a \$70bn bill to fund Donald Trump's immigration crackdown. Republicans blocked an attempt by Democrats to add an amendment preventing the creation of the president's proposed \$1.8bn "**Anti-Weaponisation Fund**" for supposed [victims of "lawfare"](#) by previous administrations. The House of Representatives will vote on the measure next. The DoJ previously said it would scrap plans for the fund.

America's State Department weighed in on [the killing of Henry Nowak](#) in **Britain**, saying that "ideological conditioning and two-tiered policing" were "glaring symptoms of civilisational decline". Mr Nowak had been handcuffed by the police after being stabbed by a Sikh man falsely accusing him of a racist attack. He died soon after. The killing sparked violent protests. David Lammy, Britain's deputy prime minister, rejected the comments.

The head of **South Korea's** election commission resigned over a ballot shortage during Wednesday's local elections. Voting materials ran out in several polling stations around the country, causing people to wait hours to cast their ballots or to not vote at all. The final vote count was completed on Friday. The incident sparked protests and prompted a formal investigation.

Thousands of protesters gathered for five consecutive days in **Albania's** capital, Tirana, to oppose plans for a luxury resort in the country's protected natural areas. The project, financially backed by Donald Trump's son-in-law Jared Kushner, is his investment firm's second attempt to [build properties in the Balkans](#)—plans for a Trump hotel in Serbia were scrapped because of local resistance.

Figure of the day: 1.9, India's total fertility rate, which is below what is needed for a stable population. Find out why the country's baby bust [is a warning to the world](#).



Photograph: Reuters

American jobs are bouncing back

America's labour market extended its strong streak on Friday, with new data showing it added 172,000 jobs in May, with especially strong numbers in leisure and hospitality. That is much more than analysts expected. Figures for March and April were revised up to 214,000 and 179,000 respectively. Those are especially impressive given a sharp decline in immigration and sluggish labour-force growth.

A healthier labour market would ease fears of a downturn. America's manufacturing index recently hit a four-year high, with factories recently hiring more workers. The fast-paced recovery may also reinforce the view among many Federal Reserve officials that inflation remains a bigger risk for America's economy than unemployment, which was steady at 4.3%.



Photograph: Alamy

India's economic balancing act

Data published on Friday showed that India's economy grew 7.8% year on year in the first quarter. This was more than economists had expected, and on par with the rate recorded at the end of 2025, when commentators were looking forward to a “Goldilocks” scenario of high growth and low inflation.

But the figures may not yet reflect the toll of the war in the Gulf. India depends on the Middle East for oil, fertiliser and [remittances](#) from migrant workers. The latest results, which put India in what seems like an economic sweet spot, cover only the first month of fighting, when the government spent to support the economy.

And there is no hiding the rupee's fall to record lows. The Reserve Bank of India must now walk a fine line between supporting the currency and sustaining economic growth. On Friday, after a monetary-policy meeting, the central bank left interest rates unchanged as expected, but also revealed a host of measures to prop up the rupee, such as inducements for overseas Indians to buy government bonds.

Long drop

Indian rupee, real effective exchange rate



Source: RBI



Photograph: Reuters

America tightens the screws on Cuba

Friday is the deadline for foreign firms to cut ties with Gaesa, Cuba's military-run conglomerate, or risk American sanctions. Many have taken the warning seriously. Meliá, a Spanish hotel group, has given up management of 15 Gaesa-owned properties—almost half its portfolio on the island. Iberostar, another hotel chain, has pulled back from a dozen more.

But Gaesa's reach extends far beyond tourism, into logistics, retail, finance and ports. Thus shipping companies, including Hapag-Lloyd, have paused Cuba-related cargo bookings. Visa and Mastercard payments in Cuba will stop from Saturday, after the foreign bank processing those transactions ended its relationship with a Gaesa-linked financial firm. Sherritt, a Canadian mining company, has suspended its participation in a nickel venture.

Donald Trump's administration [hopes economic pressure will weaken](#)—or destroy—Cuba's communist regime. The loss of hard currency will worsen the economic collapse caused by other forms of American pressure and by years of economic mismanagement. In the short run, at least, ordinary Cubans will suffer.



Photograph: Getty Images

All aboard the EU express

Six western Balkan countries currently aspire to join the European Union. On Friday their leaders will meet with EU leaders in Montenegro. The country, which restored its independence 20 years ago, is particularly keen to fast-track its application. The government is aiming for “28 by 28”, meaning to become the block’s 28th member by 2028.

Once that slogan would have seemed unrealistic. It is less so now. This week Hungary’s new government lifted the country’s long-standing veto on [Ukraine](#) and Moldova being allowed to join the EU. Both countries are due to begin formal negotiations on June 15th. Iceland is [warming up](#) to the idea of applying too.

Montenegro has some advantages over its rivals for accession. France and Germany both support its membership and, with a population of just 623,000, the tiny country would be easy to absorb. The race is on.



Photograph: Getty Images

The cost of war in Japan

On Friday Japan's parliament passed a ¥3.1trn (\$19.5bn) supplementary budget proposed by [Takaichi Sanae](#), the prime minister. Most of it will be used to establish a new reserve fund to protect households from the [economic impact of the Iran war](#). Japan gets more than 90% of its crude oil through the Strait of Hormuz and has been keeping down petrol prices with hefty subsidies.

Investors see a risk of their own. Japan has [enormous public debt](#), around 130% of GDP on a net basis, and the budget will be funded by issuing more bonds. Ms Takaichi insists overall debt need not rise, since stronger revenues have cut planned borrowing elsewhere. But markets are sceptical: concerns over Japan's fiscal health pushed the ten-year bond yield to 2.8% last month, its highest level since 1996. The [yen](#), meanwhile, languishes near ¥160 to the dollar, an almost 30-year low. That is boosting the cost of the same energy imports that the new budget is meant to cushion.



Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Friday: Who in the Bible was Isaac's wife (and mother of Jacob and Esau)?

Thursday: The recovery programme at Alcoholics Anonymous consists of 12 what?

We should do more and talk less.

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